

DIVERGENCE



Convergence can be seen as the first step before the asset makes a move in one of the directions. Whenever the asset price makes a big move in any particular direction, the short-term moving averages start to follow the same whereas the longer-term moving averages take time before they react. As a result, the distance between short-term moving averages and long-term averages begins to increase and they 'diverge' from each other. This is called a moving average divergence. Such divergence means a big move by the asset price in either direction.

As a result, whenever moving averages converge, we will keep a keen watch on that particular asset and look for early signs of divergence. We can recognize the early signs of divergence when the short-term moving averages start to break away from the convergence and move in either direction. If they start to run away on the lower side of convergence, we can see that as a short signal whereas we see divergence on the upper side of the divergence as a long signal.

We will also see that convergence and divergence will create a lot of false signals which will lead to small losses. However, these shall be met by the profits made in case of actual divergences. Also, systematic back-testing will make sure that we check if the system is working or not.

A major drawback of convergences and divergences is that it does not present any specific entry point like crossovers. We enter the trade whenever we gather enough conviction that this is a divergence that is playing out. But, divergences do not give an exit signal. As a result, we will combine this with other indicators and tools to design an exit strategy.